# Vijaya Diagnostic Centre Ltd CONCALL TRACKER

Ticker VIJAYA (NSE) / BSE 543350 | A South-India diagnostics chain — a durable earning trigger & management-consistency read from its earnings calls

Report date: 4 July 2026 • Built from 12 earnings-call transcripts read oldest→newest (Q1 FY24, Aug 2023 → Q4 FY26, May 2026) • Financials cross-checked against on-file snapshot data

## 1. Snapshot — what the business is

Vijaya Diagnostic Centre runs a chain of medical-testing centres, mostly across South India (its home base is Hyderabad, plus Andhra Pradesh, Telangana, and newer entries into Pune, West Bengal/Kolkata and Bengaluru). A customer walks in and gets two kinds of tests under one roof: **pathology** (blood, urine and other lab tests) and **radiology** (X-ray, ultrasound, CT, MRI and PET-CT scans). It earns almost all its money directly from individual walk-in patients (called **"B2C"**, business-to-consumer) rather than from hospitals or corporate contracts. It grows by opening large "hub" centres (full lab + high-end scanners) and smaller "spoke" collection centres around them.

| Number (FY26, year to Mar 2026) | Value | Plain-English read |
|---|---|---|
| Full-year revenue | **₹814 crore** | Total sales for the year — up about a fifth (+19.5%) on last year's ₹681 crore. First year past the ₹800-crore mark. |
| Operating profit (EBITDA*) | **₹337 crore** | Profit from running the centres before interest, tax and wear-and-tear charges — up 23%. A very high 41% of sales, meaning the business keeps 41 paise of every rupee at this level. |
| Net profit (after everything) | **₹173 crore** | The final take-home profit — up about 20%. That is a healthy 21 paise of net profit per rupee of sales. |
| Return on capital (ROCE) | **~21%** | For every ₹100 of money tied up in the business it earns about ₹21 a year — a strong return for a capital-heavy scanner business. |
| Cash on the books | **~₹280–300 crore** | Surplus cash after paying equipment suppliers — the company is effectively debt-free on a net basis and funds its expansion from its own cash. |
| Promoter holding | **52.5%** | Founders/promoters still own just over half. (Foreign funds ~13%, Indian funds ~30% — institutions have been buying while promoters trimmed slightly.) |

*EBITDA = earnings before interest, tax, depreciation and amortisation, i.e. operating profit before financing and accounting wear-and-tear charges. Market capitalisation is not carried in the on-file snapshot data, so it is not quoted here (shares outstanding ~10.3 crore).

## 2. Concall coverage — what was read

Twelve consecutive quarterly earnings-call transcripts were read in full, oldest to newest — a clean, unbroken run covering **three full financial years (FY24, FY25 and FY26)**. This is a strong basis for judging whether management does what it says.

| Quarter | Call date | Read? | Quarter | Call date | Read? |
|---|---|---|---|---|---|
| Q1 FY24 | 10 Aug 2023 | Yes | Q3 FY25 | 12 Feb 2025 | Yes |
| Q2 FY24 | 08 Nov 2023 | Yes | Q4 FY25 | 12 May 2025 | Yes |
| Q3 FY24 | 06 Feb 2024 | Yes | Q1 FY26 | 28 Jul 2025 | Yes |
| Q4 FY24 | 09 May 2024 | Yes | Q2 FY26 | 04 Nov 2025 | Yes |
| Q1 FY25 | 06 Aug 2024 | Yes | Q3 FY26 | 13 Feb 2026 | Yes |
| Q2 FY25 | 07 Nov 2024 | Yes | Q4 FY26 | 08 May 2026 | Yes |

### ★ Latest concall highlights — Q4 FY26 (call held 8 May 2026)

- **Best quarter ever, growth re-accelerated.** Quarterly revenue ₹219 crore, up ~26.6% on a year ago — and this was almost all **real-volume** growth (+18.5% more tests), not price rises. The soft patch of the previous quarter (Q2 FY26, dragged by a weak fever season) is firmly behind it.
- **Profitability jumped.** Operating profit (EBITDA) ₹95.5 crore at a 43.5% margin — up 3.8 percentage points on last year, the highest margin in the period. Net profit ₹47.9 crore (+37.5%). New centres opened this year cost far less to run than budgeted (a 0.8% drag versus the ~2–2.5% feared), and mature Hyderabad grew ~20%, so operating leverage did the rest.
- **Full-year FY26: crossed ₹800 crore.** Revenue ₹814 crore (+19.5%), operating profit ₹337 crore (+23.3%), net profit ₹173 crore. A "landmark year".

- **Five-year scorecard since listing.** Management put up a tidy report card: 17% revenue growth per year over 5 years (they had only promised ~15%), **with no drop in margin**; centres roughly doubled 81 → 162; footprint 2 → 6 states; staff ~2,000 → 3,500+.
- **What's next (FY27).** Plans 4–5 new hubs and 10–12 spokes, a new fully-automated central lab in Hyderabad, and the start of high-end **Genomic (DNA-based) testing** — described as a slow-burn, long-term play, not a near-term earner. Capital spend guided at ₹140–150 crore, funded from own cash.

**Tone:** confident and celebratory (five-year milestone), but disciplined — they deliberately keep the official margin promise at "40%+" even after delivering 43.5%.

## 2c. Business mix & capacity (quick-glance panel)

| Split (latest disclosed) | Level | Plain read |
|---|---|---|
| Direct patients vs hospital/corporate (B2C vs B2B) | **~92% B2C** | Almost all revenue is walk-in individual patients. Vijaya deliberately avoids low-price hospital/government (B2B/PPP) work — a conscious choice to protect price and avoid slow payments. |
| Pathology vs radiology | **~63% / 37%** | Roughly two-thirds lab tests, one-third scans. Scans (radiology) are the higher-value, more differentiated part and rise as new high-end hubs open. |
| Wellness (preventive health packages) | **~13–15%** | Pre-planned check-up packages (roughly ₹450 to ₹18,000 each). Growing but not a deliberate push; every package mixes lab + scans. |
| Home sample collection | **~1–1.2%** | Very small — customers prefer walking into a centre for the "personal touch". (Last quantified in FY24; not a focus area.) |
| Geography (revenue) | **Hyd 67% / rest AP&Telangana 20% / Pune 6% / West Bengal 4% / other 3%** | Still Hyderabad-heavy, but the home-city share has fallen from ~82% (FY23) as Pune, Kolkata and Bengaluru scale up — the concentration is steadily easing. |

**Capacity / utilisation headroom:** Management does not give a single network utilisation %. What it does say: new hubs turn profitable at only ~**one-third of their capacity**, most centres still have room to grow revenue, and even **mature Hyderabad still grows volume ~10–12% a year** without new capacity being added — so there is meaningful headroom to fill existing centres before new capacity is strictly needed. New spokes reach full potential (₹1.5–2.5 crore each in new regions) in about 18–24 months.

## ★ 3. Earning Trigger thesis — the headline

The single driver management pushes, call after call, is **filling and multiplying an integrated hub-and-spoke network**. The mechanics: open a big hub (lab + high-end scanners) in a dense residential area at "market" prices, let the brand and quality pull in walk-in patients, break even fast, then ring it with small spoke centres. Growth is **volume-led** (more tests, more footfalls), not price-led — price rises add only ~1–1.5% a year. The same recipe that made Hyderabad a fortress is now being copied into Andhra/Telangana Tier-2 towns, Pune (via the PH acquisition), Kolkata/West Bengal and Bengaluru. Two things make it durable: (a) even the "mature" home market keeps growing double-digit as Vijaya takes share from weaker rivals, and (b) new hubs keep breaking even *faster* than promised, so expansion pays back quickly instead of bleeding margin.

| Trigger | What management said | Evidence so far | Horizon | Strength |
|---|---|---|---|---|
| **New-geography hub roll-out** (Pune, Kolkata/WB, Bengaluru) | 10–12 hubs across FY25–26; break even within ~1 year outside home market | Delivered: Kolkata, 3 Bengaluru + WB hubs to 7, Pune spokes. Several broke even in just 2–3 quarters, ahead of plan | Live, multi-year | **Strong** |
| **Share gains in mature home market** (Hyderabad) | Hyderabad keeps growing double-digit even without new capacity | Delivered: Hyderabad grew ~15% (9M FY26) and ~20% in Q4 FY26 with no new hubs added there | Ongoing | **Strong** |
| **Operating leverage → high margin** | Sustain ~40% EBITDA margin despite heavy expansion | Delivered: margin held 39–43% throughout; FY26 41.4%, Q4 43.5%; new-centre cost drag only 0.8% vs ~2.5% feared | Proven | **Strong** |
| **PH Pune acquisition** (first major M&A) | ₹147.5 cr buy (Dec 2023); revenue to roughly triple in 4–5 years | Partly: integrated & rebranded, but growing only ~8% — the slowest-moving leg; a "clean-up" year | 2–4 years | **Moderate** |
| **Genomic / DNA testing** (new) | Launching advanced genomic tests as a specialised offering | Just starting; management itself calls it a long-term play with no meaningful near-term revenue | Long-term | **Unproven** |

## 4. Management Consistency scorecard — promised vs delivered

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| FY24 (early calls) | Grow revenue ~14–15% a year, volume-led; open ~15 centres/4 hubs a year; keep ~40% margin | FY24 revenue +19% (organic +18%); margin 40.3%; hubs opened (Mahabubnagar, Gulbarga, Ongole) though the 15-centre count slipped on landlord delays | Delivered |
| FY24 | Kolkata (first outside-home hub) to break even in ~1 year | Broke even in ~3 quarters — faster than guided | Delivered |
| Dec 2023 | PH Pune bought for ₹147.5 cr; revenue to ~triple in 4–5 years; integrate in 2 quarters | Integrated, rebranded "Vijaya PH", ERP migrated on time — but growth stuck near 8%; the triple is not yet visible | Too-early / Partly |
| FY25 | 10–12 hubs over FY25–26 incl. new cities; ~40% margin held through expansion | Delivered: 6 hubs launched in 2 months (Pune, Bengaluru, WB); FY25 revenue +24%, margin 40.1% | Delivered |
| FY25–26 | New hubs (Bengaluru, WB) to break even within ~1 year | Beat it repeatedly — Yelahanka/Bengaluru and Krishna Nagar/Barasat broke even in 2–3 quarters; Khammam/Nandyal in 2 quarters | Delivered |
| Q2 FY26 | (Implicit) steady mid-teens growth | Soft quarter: revenue +10% only, on a weak fever/monsoon season & high base — but honestly explained, and recovered strongly the very next quarter | Partly (explained) |
| 5-yr since IPO | ~15% revenue growth guidance, no margin dilution | Delivered 17% revenue CAGR with margin intact; centres 81→162, 2→6 states | Delivered |

### Narrative drift

The story has been **remarkably steady for three years**: same integrated B2C model, same hub-and-spoke recipe, same "grow ~15%, volume-led, keep ~40% margin, expand from own cash, avoid low-margin B2B/government work" mantra on every single call. The only real *evolution* is sensible, not a pivot — adding Pune, Kolkata and Bengaluru as new legs once Hyderabad concentration eased. Numbers have consistently landed at or above the promise, and new centres keep beating their own break-even timelines. Management is candid on the rare soft patch (Q2 FY26 seasonality) rather than spinning it. There have been leadership changes across the period (a new CFO, a COO title for the strategy head, a new CTO and Lab Director in FY26), but the founder-family MD/CEO (Suprita Reddy) has remained the constant voice and the messaging has not wavered.

## 5. Bottom line — the two verdicts

### Durable earning trigger? YES

There is a clear, concrete and still-live driver — a proven hub-and-spoke playbook being multiplied across new geographies while the mature home market keeps gaining share — and the evidence shows it is actually playing out: 17% five-year revenue growth, new hubs breaking even ahead of schedule, and margins that *rose* rather than fell through a heavy expansion phase. The trigger is real, mechanical and repeatable, not a hope. (The only softer strands are the slow-ramping Pune acquisition and the brand-new genomics bet, but the core network trigger stands firmly on its own.)

### Management consistent? YES

Across twelve straight quarters the story never drifted and the numbers repeatedly met or beat the promise: mid-teens-plus growth delivered (17% CAGR vs ~15% guided), ~40% margin protected through aggressive expansion, and new-centre break-evens beaten again and again. Management is specific with guidance, honest about the one weak quarter, and keeps its official targets conservative even after out-delivering. This is a management team that says what it will do and then does slightly better.

Prepared from Vijaya Diagnostic Centre Ltd earnings-call transcripts (Q1 FY24 – Q4 FY26) and on-file financial snapshot data. This is a research summary, not investment advice. Figures are as stated by management on the calls / in the snapshot files and are rounded for readability.